

DivineSide — Phase 2

Niche Selection + Execution Plan · Long Meeting

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COMING IN WITH: Product vision locked (from Phase 1 call). **DECIDING TODAY:** Which niche we go deep in first, the first workflow, the kill signal, and roles.

PHASE 2 — TOMORROW · LONG MEETING Niche selection, validation plan, roles, execution.

4. The Niche Proposal — Exam-Prep & Coaching Businesses

The product vision is locked. The niche is not. Today we pick the first vertical we go deep in — the one that feeds the most learning into AIOS the fastest, while generating real revenue.

The proposal on the table: **exam-prep and coaching businesses.**

Criteria	Why coaching businesses
Domain edge	Mayank lived inside this world as a student 2 years ago — knows it as the customer. Has existing connections and a relative who runs a coaching institute — free prototype environment available immediately.
Fit with AIOS	Structural, not coincidental. Coaching is a pure information business — every interaction is context (doubts asked, papers attempted, results recorded). AIOS is a context engine. The fit is architectural.
Speed to cash	Fast entry workflows exist — reactivation of cold enquiries, review/referral system, missed-enquiry follow-up. These are proven playbooks that produce revenue in weeks, not months.
Path to AIOS	Direct. The teaching/delivery closed loop — adaptive content from real student performance — is a pattern that appears in every coaching business globally. That pattern is AIOS material.
Target market	Global — primarily English-speaking markets (US, UK, Australia). India used as the prototype ground only, leveraging existing connections to validate fast. Dream customers are US/Western-market coaching businesses.

5. The Market — Is It Real?

Yes. Globally abundant and growing.

- US private tutoring market growing by **\$28.85B (2024–2029)**. Test prep segment alone: **\$21B**.
- AI tutors market: **\$2–3.5B (2025)**, growing ~30%/yr.
- US admins using AI "often/always" jumped from **31% → 58%** in one year — adoption is real and accelerating.
- Global exam prep and tutoring market report values the space at significant scale with consistent double-digit growth.
- The buyer already pays for software — Classplus, Teachmint, Classpro all have paying customers. The budget habit is established; we're not creating a new one.

On India as prototype ground: Existing connections make it the fastest place to run the first agent and prove the workflow works. It is a test environment, not the target market. Once validated, we take the same system to US/UK coaching businesses where pricing power and margins are significantly higher.

6. Why an Information Business Is the Best First Vertical

This is not a generic argument. It's the structural reason why coaching beats every other niche for AIOS specifically.

The data generation difference

A physical service business — a restaurant, a med spa — generates transaction data. Who bought what, when. Appointments, slots, invoices. That data is shallow. It tells you what happened. It doesn't tell you why, and it doesn't compound.

A coaching institute generates something fundamentally different. Every interaction is **structured, reusable, causal context**:

- Every doubt asked — which topic, which conceptual block, how long to resolve, whether the student asked again
- Every paper attempted — score, question-by-question breakdown, error type (careless vs. conceptual), timing patterns
- Attendance — which batches, which times, patterns before exams, correlations with performance
- Parent communications — concerns raised, response sentiment, escalation signals

- Instructor patterns — which teacher resolves doubts so well the student never asks the same thing twice vs. which teacher moves on when students are confused

This is not operational data. **This is the product itself.** The doubts a student asks are simultaneously evidence of a learning gap, structured knowledge about which concepts the system hasn't taught well, and a prediction of exam performance. The information IS the business in a way that is true of almost no other niche.

Harvard Business Review (Feb 2026): "When every company can use the same AI models, context becomes a competitive advantage — defined as demonstrated execution: the workflows teams actually follow, the signals they respond to, the order roles get involved." In a coaching institute, context is not a by-product of the business. It is the substance of teaching itself.

What becomes possible after 6 months of accumulated context

After 6 months of the AIOS running inside one coaching institute, three things become possible that are impossible for any generic platform:

1. The system predicts dropout before the student or parent knows it's coming.

It has watched dozens of students across multiple batches. It knows: a student who stops attending doubt sessions for 9 days, whose mock scores dropped from 58 to 51, whose parent's message responses went from paragraphs to single words — that student has a 70% chance of withdrawing in 14 days. Not because anyone programmed that rule. Because the system saw it happen 11 times before. No template, no trigger-action workflow, no CRM can do this. It requires accumulated causal inference from real data.

2. The system discovers how teaching actually works at that specific institute.

Two batches, same instructor, same content. Batch A finishes in 45 days, 78% average. Batch B finishes in 52 days, 71% average. The system finds the cause: Batch A did practice problems immediately after each lesson — students who did this were 3.2x less likely to ask doubts about the same topic later. Batch B waited 3 days. The system now reorganises the next batch's schedule and tracks whether the 48-day/76% targets are hit. No platform does this because no platform has accumulated the institute's operational history. The system becomes smarter than any generic EdTech tool because it knows this institute, not institutes in general.

3. The system identifies revenue the institute doesn't know it's leaving on the table.

In a batch of 40 students, 8 drop out. The system classifies each: Student A enrolled with a foundation too weak for the course — the right move is a refund and a discounted remedial offer, not retention. Student B attended well for 4 weeks then stopped — her absences cluster on Mondays (her busiest work day), her performance before stopping was 72%. Moving her to Saturday batch and offering 2 free doubt sessions will retain her. Student C asks questions that are 2 weeks ahead of the curriculum — he's high-potential and should be upsold to premium 1:1 coaching. Three different dropout profiles, three different interventions, all personalised. Not a template. Not a rule. Reasoning from accumulated data about this student, this batch, this institute.

Why a restaurant can't do this and a coaching institute can: A restaurant with 6 months of data can optimise table turnover and popular dishes. A coaching institute with 6 months of data can optimise how students learn, predict which ones will drop out, discover which instructor behaviours produce better outcomes, sequence curriculum for the next batch, and identify upsell opportunities — all from data that is a natural by-product of simply running the business. The information density is an order of magnitude higher, and every piece of it is causal and reusable.

7. The Competition — The Honest Picture

The honest answer: nobody is building what we're describing. The closed-loop, self-improving AI OS for coaching business operations does not exist. YC said it publicly. The research confirms it.

There are three categories of things that exist, and none of them are real competition for the specific thing we're building:

Category 1 — Student-facing AI (not our space)

Squirrel AI, Khanmigo, most EdTech AI — these are closed-loop systems for *student learning*, not for *business operations*. Squirrel AI has a closed loop: diagnostic test → 10,000 knowledge points → personalised path → real-time adaptation. Genuinely impressive. But it optimises how the student learns. It does nothing about whether the institute is about to lose that student, whether the instructor is underperforming, whether the batch is heading for a poor outcome, or whether the owner is leaving revenue uncaptured. Different problem. Different customer. Not a competitor.

Category 2 — Automation and management software (not intelligent, not a system)

GoHighLevel, Classplus, Teachmint, TutorCruncher — these automate tasks within pre-defined workflows. GoHighLevel in 2025 added voice AI for call recording and analysis. Still reactive, not autonomous. You build a template (Snapshot), it fires when triggered. No context accumulation, no cross-functional reasoning, no learning loop. Read their own language: "keeps a record," "sends reminders," "books appointments." That is storage and display. They give the human a report and rely on the human to act. Architecturally, these are digitisation tools, not intelligence systems. A GoHighLevel agency cannot replicate predictive dropout intervention because you cannot template causal inference. The difference is not features — it is architecture.

Category 3 — Risely (not an OS, not autonomous)

Risely is often cited as an "AI OS for business." What it actually is: an AI coaching tool for managers and employees, delivered through Slack and Teams at \$59/user/month. It coaches individual people on

workplace skills — communication, delegation, feedback. It does not run business functions. It does not manage agents. It does not accumulate operational context about an institute. It is an individual coaching product, not an operating system. It proves the market wants AI for professional development. It is not competition for what we build.

The white space

What exists	What's missing
AI that teaches students (Squirrel AI)	An AI OS that runs the <i>business of teaching</i> — cross-functional, autonomous, self-improving, built on accumulated operational context. This is DivineSide.
CRMs that track leads (Meritto, LeadSquared)	
Tools that help teachers create content (MagicSchool)	
Software that stores records and sends reminders (Classplus, Teachmint)	

Zero announced funding for "AI OS for coaching institutes" specifically. The closest funded analogy: Performativ raised €5.5M for an AI-native OS for wealth management — proving VC appetite exists for vertical AI OS. Nobody has taken it to education operations yet.

8. The Entry Workflows — What We Actually Build First

Not reactivation emails. Not review requests. Those are GoHighLevel templates. We start with something that requires genuine AI reasoning — something that immediately demonstrates the closed loop in action and begins accumulating the context layer we need for everything that follows.

Entry Workflow: Predictive Dropout Intervention

The problem it solves: Every coaching institute loses students mid-course. Today, the owner finds out when the parent calls to withdraw. By then it's too late. The signals were there weeks earlier — but nobody was watching all of them simultaneously, and no system was connecting them.

What the system does: It monitors five data streams simultaneously for every student — attendance patterns against their personal baseline, mock score trajectory against their cohort, doubt session engagement, parent communication sentiment, and time-to-exam. When the combination crosses a threshold the system has learned from past batches, it doesn't send a generic alert. It reasons through the cause, classifies the type of risk, and generates a specific intervention.

A real example of what this looks like:

The system flags a student. Hasn't attended a doubt session in 9 days — his normal is every 3 days. Physics mock dropped from 58 to 51 while the batch average improved. Parent's last three messages were single-word replies. Two months to the exam.

The system doesn't send a template follow-up. It drafts a specific message to the parent — referencing the student's actual progress, framing around what's recoverable in the time available, in the communication style that this parent has historically responded to (because it has 4 months of message history). It books a 1:1 check-in with the student. It pulls his weekend attendance data and suggests moving him to the Saturday batch where he previously attended more consistently. Then it watches whether the intervention worked, and updates its model of what works for this type of student profile.

Why this can't be replicated by a GoHighLevel agency: You cannot pre-write this message. You cannot build an if-then rule for "9 days since last doubt session AND declining mock AND short parent replies AND 8 weeks to exam." Even if you could, the intervention itself — the specific framing, the batch reassignment, the 1:1 booking — requires reasoning about this student's history, not execution of a template. This is the first thing the system does. It is also the thing that starts building the context layer for everything else.

What follows as the system matures

Workflow	What it does	Why it requires AIOS, not automation
Curriculum velocity optimisation	After each batch, discovers why Batch A outperformed Batch B — practice-first vs. theory-first, doubt resolution speed, student composition. Reorganises next batch's schedule based on what actually worked.	Requires causal inference across batch-level variables. You can't write an if-then rule for "which combination of teaching sequence, instructor style, and student composition produces 78% vs 71%."
Revenue leakage classification	Classifies every at-risk student as: unfixable (refund + remedial offer), fixable (specific intervention), or upsell opportunity (premium 1:1 pitch). Generates personalised outreach for each.	Three different types of dropout require three different responses. Identifying which is which requires reasoning from engagement data, not a dropdown menu.
Instructor development loop	Discovers that Instructor A's students ask the same doubts twice at 3x the rate of Instructor B's students — a specific sign of resolution quality. Generates a targeted improvement plan, then tracks whether it works.	Internal operations reasoning that connects instructor behaviour to student outcome data. No CRM or management tool touches this at all.

Why we start with dropout intervention: It is cross-functional (shows the value of integrating data streams), immediately revenue-connected (retention = cash), and it builds the context layer — student

history, parent communication patterns, batch performance data — that makes every subsequent workflow more powerful. The first workflow is not just a deliverable. It is the foundation.

9. The Validation Plan — Kill Signal Included

Phase	What we do	Kill signal
Phase 0 Weeks 1–4	Deploy the dropout intervention system for the relatives' institute. This is the prototype — not sold yet, but run live on real students. Watch what breaks: where the data doesn't exist, what the owner won't give agents access to, whether the intervention actually changes behaviour.	2 paying clients in 4 weeks using the prototype as proof. If not, we revisit the niche — not the product vision.
Phase 1 Months 2–4	Add curriculum optimisation and revenue leakage classification for the same client. Second and third client. Agents sharing memory and context across all three workflows. Document what's common across institutes.	Same pattern appears across 3+ institutes → extract it into AIOS.
Phase 2 Months 5+	Common patterns become the productised AIOS core. Expand to US/UK coaching businesses — same system, higher pricing power.	—
Phase 3 Later	Consider the broader platform across verticals. An option, not a plan.	—

10. Agenda — Open Questions to Lock Today

- 1 **Niche verdict:** Does coaching / exam-prep pass the test for all three founders? What would change the decision?
- 2 **First workflow:** Dropout intervention as the entry point — agreed? Or is there a stronger first case?
- 3 **Kill signal agreement:** All three founders commit to the 4-week test. If we can't land 2 paid clients in 4 weeks, we revisit the niche — not the product vision.
- 4 **Roles locked:** Who owns delivery, who owns the client relationship, who owns research?
- 5 **The video:** Ship it. It's authority-building and it's true. Agreed?

The verdict going into this meeting: The product vision is not up for debate — it's the best bet we have, it's early, and nobody has built the closed loop yet. The niche is up for debate — bring

real reasons, not vibes. The strongest version of this company is the one all three founders have stress-tested and committed to.

This brief is a proposal, not a decree. Bring your pushback. The strongest version wins.